



Fundamentals of Business Analytics

Prepared by:
Ms. Chrisna L. Fucio

TOPIC TO BE DISCUSS:

MODULE 6

ETHICS ISSUES IN BUSINESS ANALYTICS



LESSON 1: THE ROLE OF ETHICS IN BUSINESS ANALYTICS

What is Ethics?

Ethics are defined as the upstanding principles that direct a person's behavior when performing their duties. It requires an understanding and focus on the equity, consideration, and moral behavior of business analysis activities and its relationships.

What Are Data Ethics in Business Analytics?

Data ethics in business analytics refer to the moral principles, laws and practices that help ensure companies use data legally and responsibly.

Defining traits of ethical business analytics include:

- ✓ Customer information stays private and secure.
- ✓ All data usage directly benefits clients, not just the company.
- ✓ Consumers understand how and why their data is used.
- ✓ The use of data aligns with the company's mission and core values.



LESSON 1: THE ROLE OF ETHICS IN BUSINESS ANALYTICS

➤ Ethical Principles in Business Analytics

1. Responsible Data Collection

Businesses need to harvest and interpret enormous amounts of data to detect trends and make accurate predictions.

- Asking consumers for informed consent before gathering information
- Explaining the data's intended use to clients and stakeholders
- Harvesting only as much data as necessary to improve the customer experience
- Periodically auditing their data collection practices to ensure that they're ethical

2. Data Privacy

Once businesses collect data, they're ethically and, in many cases, legally obligated to keep this information confidential.



LESSON 1: THE ROLE OF ETHICS IN BUSINESS ANALYTICS

➤ Ethical Principles in Business Analytics

3. Data Security

Data security is a fundamental aspect of data ethics in business analytics. These practices help protect information from data leaks and other risks:

- Implement end-to-end encryption so that only authorized users can access data
- Anonymize data whenever possible
- Only hire vendors that prioritize data security and don't allow them to store confidential data on their servers
- Use secure cloud workspaces to share documents



LESSON 1: THE ROLE OF ETHICS IN BUSINESS ANALYTICS

➤ Ethical Principles in Business Analytics

4. Accountability and Transparency

Companies can build brand loyalty and increase trust by being transparent about their data usage. Businesses can utilize data responsibly by disclosing how they use it to understand and meet consumers' needs.

5. Algorithmic Fairness and Bias Detection

- Using open-source software to make algorithms more democratic
- Hiring data scientists to detect and eliminate bias
- Collaborating with other companies to develop ethical business analytics tools



LESSON 1: THE ROLE OF ETHICS IN BUSINESS ANALYTICS

➤ Ethical Principles in Business Analytics

6. Social Impact of Data Ethics

Business analysts can use data ethics to drive social change and protect vulnerable communities.



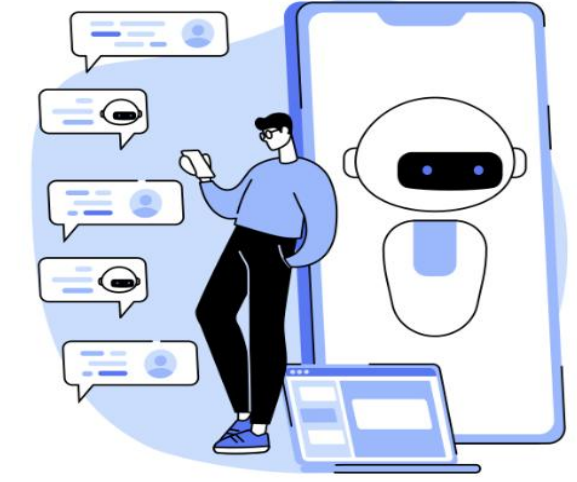
TOPIC TO BE DISCUSS:

Module 6 Lesson 2:

1. Ethical concerns and ethical implications of business analytics



ETHICAL ISSUES

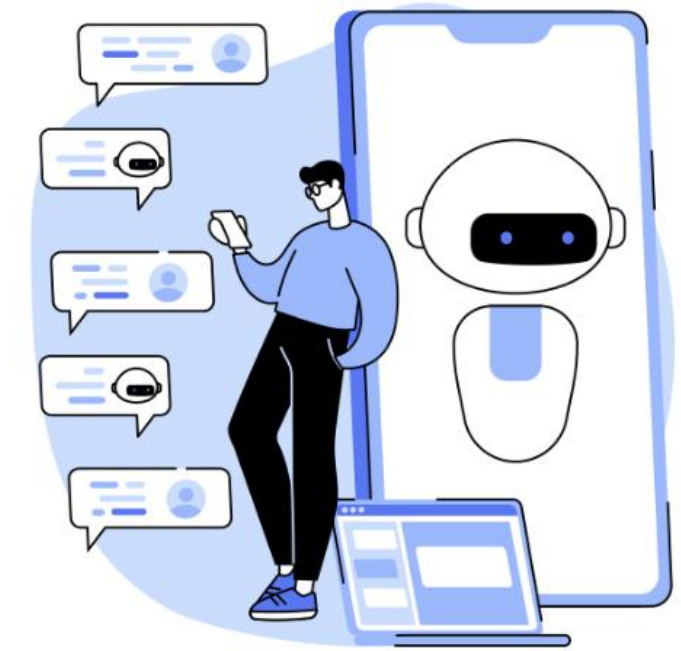


Ethical issues in the workplace arise when a moral dilemma needs resolution within an organization. Common ethical issues include *unethical accounting, harassment, health and safety concerns, technology misuse, privacy violations*, social media misconduct, and discrimination.

Ethical behavior involves considering how decisions impact stakeholders and ensuring they are treated fairly, even if the outcome isn't always favorable. Recognizing ethical issues enables business analysts to identify and address potential problems, fostering respect from stakeholders through responsible decision-making.

ETHICAL ISSUES

The ability to see when a proposed solution or requirement may present ethical difficulties to an organization or its stakeholders is an important consideration that business analyst can use to minimize risks.



Some examples of ethical dilemma examples include the following:

- ✓ If the proposed solution might endanger the job security of a group of workers. For example, automating a production assembly line might make the current assembly line workers redundant.
- ✓ Implementing new quality assurance processes might increase the workload of the current employees.
- ✓ Utilizing inside knowledge for your own profit. For example, buying shares in an organization because you know that they might soon be a profitable industry merger.
- ✓ Offering a client a substandard product due to budgetary and time limitations.

Ethical Issues in the Workplace

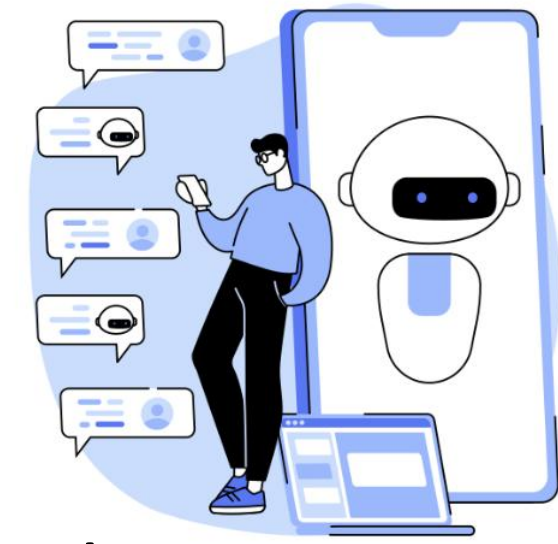


To establish a workplace code of ethics, companies must first identify potential ethical issues, such as fostering professionalism. Employees should strive to be friendly, avoid spreading rumors, and show consideration for others. Maintaining a reputation for honesty, fairness, and consistency is essential for building trust.

Additionally, an employee's dedication can reflect ethical issues. Companies can enhance productivity by encouraging punctuality and motivation among their workforce.

Ethical businesses focus on developing their employees' moral courage and values. However, ethical challenges still persist in many workplaces, and failure to address these issues can lead to legal consequences. It is crucial for companies to identify and tackle these ethical problems early to maintain a positive work environment and avoid potential repercussions.

Types of Ethical Issues



There are five main types of ethical issues in the workplace:

- 1. Unethical accounting** — In order to make themselves appear more profitable than they are, publicly-traded corporations may engage in unethical accounting practices.
- 2. Harassment** — It creates a hostile work environment and leads to early departures for employees.
- 3. Health and safety** — Work-related stress can result from a lack of consideration for workers' safety and physical injuries.
- 4. Technology, privacy, and social media** — Using social media in an improper manner can have serious consequences for privacy and security, both online and offline. Outside of the job, it is easy to abuse power. Managers have the ability to enrich themselves by manipulating reports, taking credit for others' work, wasting money, and accepting gifts from vendors and clients.
- 5. Discrimination** — Discrimination is defined as any activity that results in the treatment of a worker in a less favorable manner.

Summary

Ethical issues in the workplace refer to situations where moral dilemmas arise and must be resolved within an organization. The five main types of these issues include unethical accounting, harassment, health and safety concerns, technology and privacy, social media misuse, and discrimination. Ethical behavior involves considering the impact of decisions on stakeholders and ensuring fair treatment, even if the outcomes are not favorable to all parties. Recognizing and addressing ethical issues helps minimize risks and builds trust, allowing business analysts and companies to foster a respectful and productive work environment.

TOPIC TO BE DISCUSS:

Module 6 Lesson 3:

ETHICAL AND LEGAL CONSIDERATIONS IN BUSINESS ANALYTICS



Ethical and legal considerations in business analytics

1. Discrimination and Bias
2. Integrity of Data Analytics
3. Lack of Transparency



Ethical Considerations in Business Analytics and Data Privacy

➤ Consent Required and the Right to be Informed

- ✓ The Right to Access
- ✓ The Right to Rectify
- ✓ The Right to Complain
- ✓ Protecting Individual Privacy
- ✓ Ensuring Fairness and Non-Discrimination
- ✓ Transparency in Data Usage
- ✓ Informed Consent and Data Ownership
- ✓ Responsible Data Stewardship
- ✓ Data Minimization and Purpose Limitation
- ✓ Ethical Use of Analytics Insights
- ✓ Data Governance and Compliance
- ✓ Continuous Ethical Evaluation





**THANK YOU FOR
LISTENING!**